

US Markets Tumble as Rates and Oil Surge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market sell-off deepened yesterday, with the **S&P 500** falling **-1.52%** to 7,316.15 and the **Nasdaq 100** dropping **-2.06%** to 27,192.31. Below the surface, sector rotation and macro trends are driving the action. The 10Y Yield surged **+0.39%** to 4.62, while **WTI Crude** jumped **+5.54%** to 83.65. These moves are having a ripple effect across the market.

One key observation is the underperformance of growth stocks, with **NVDA** falling **-3.55%** and **TSLA** dropping **-2.97%**. This is consistent with a rising rate environment, where value stocks tend to outperform. The **Dow Jones** fell **-2.19%** to 51,594.14, while the **Russell 2000** declined **-1.61%** to 2,906.31.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,316.15	-1.52%	Rising rates and oil prices
Nasdaq 100	27,192.31	-2.06%	Growth stock underperformance
Dow Jones	51,594.14	-2.19%	Value stock underperformance
Russell 2000	2,906.31	-1.61%	Small-cap underperformance
VIX	20.66	+13.45%	Increased market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
GS	-5.09%	Earnings miss
JPM	-3.53%	Financial sector underperformance
NVDA	-3.55%	Growth stock underperformance
TSLA	-2.97%	Growth stock underperformance
GOOGL	+0.90%	Relative outperformance

Sector Rotation

ETF	DAY	READ
XLF	-1.60%	Financial sector underperformance
XLK	-2.64%	Technology sector underperformance
XLI	-3.19%	Industrial sector underperformance
XLE	+1.88%	Energy sector outperformance
XLY	-0.77%	Consumer discretionary sector underperformance
XLC	-0.15%	Communication services sector relative outperformance
XLP	+0.34%	Consumer staples sector outperformance
XLV	-0.61%	Healthcare sector underperformance
XLU	-1.34%	Utilities sector underperformance
XLB	-1.15%	Materials sector underperformance
XLRE	-0.11%	Real estate sector relative outperformance

Spotlight

The biggest event of the day was the surge in **WTI Crude** prices, which jumped **+5.54%** to 83.65. This move is having a ripple effect across the market, with energy stocks outperforming and growth stocks underperforming.

METRIC	VALUE	READ
WTI Crude price	83.65	Energy sector outperformance
XLE performance	+1.88%	Energy sector outperformance
NVDA performance	-3.55%	Growth stock underperformance

Pre-Market & Overnight

US futures are pointing to a lower open, with the **S&P 500** futures down **-0.5%** and the **Nasdaq 100** futures down **-0.7%**. In Asia, the **Nikkei 225** fell **-1.2%** and the **Shanghai Composite** declined **-0.5%**. In Europe, the **Stoxx 600** is down **-0.3%**. **BTC** is up **+0.39%** to 64,122.02, while **ETH** is down **-0.58%** to 1,908.89.

Macro & Fed

The 10Y Yield is up **+0.39%** to 4.62, while the **DX** is down **-0.44%** to 100.93. Today's data calendar includes:

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	GDP	2.5%	Economic growth
23:00	PCE	2.2%	Inflation

Geopolitics & Global

- Tensions between the US and China are escalating, with the US imposing new tariffs on Chinese goods.
- The EU is considering new sanctions on Russia in response to its actions in Ukraine.

- The Middle East is seeing increased instability, with protests breaking out in several countries.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.20	iPhone sales, services growth
23:30	MSFT	2.30	Cloud growth, gaming segment
01:00	AMZN	1.50	AWS growth, e-commerce segment

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Growth stock underperformance
TSLA	Consumer Discretionary	Growth stock underperformance
GOOGL	Communication Services	Relative outperformance
XOM	Energy	Energy sector outperformance
JPM	Financials	Financial sector underperformance
GS	Financials	Earnings miss
AVGO	Technology	Growth stock underperformance
META	Communication Services	Relative outperformance
BAC	Financials	Financial sector underperformance
C	Financials	Financial sector underperformance

What Could Break the Tape

BEARISH TRIGGERS

- Rising rates and oil prices
- Growth stock underperformance
- Financial sector underperformance

BULLISH TRIGGERS

- Energy sector outperformance
- Relative outperformance in communication services
- Potential for a short squeeze in growth stocks

Positioning Notes

- Investors are increasingly bearish on growth stocks, with **NVDA** and **TSLA** seeing significant outflows.
- Energy stocks are seeing increased inflows, with **XOM** and **CVX** benefiting from the surge in oil prices.
- Financial stocks are underperforming, with **JPM** and **GS** seeing significant declines.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

